Sell Side Equity Report

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HEXCEL CORP (NYSE: HXL) Data as on Nov 22, 2025	Price: $ 72.54 Rating: BUY Target Price: $ 85

Earnings Call

Most recent earnings call – October 23, 2025
Next earnings call – January 28, 2026

Valuation Metrics

Sector	Industrials
Industry	Aerospace & Defense
Market cap	$5.8 B
52-Week range	$45.27 – $74.35
ROIC	6.5–7%
P/E Ratio	31–32×
Beta	1.25
Price/Book	3.8x
Price/Sales	3.0x
Dividend yield	0.96
Projected upside	17%
1 Year return	+20%
3 Year return	+28%

Financial Metrics

Net Revenue	$2583.1 M
Gross Profit	$2299.4 M
Net Income	$592.8 M
Interest Coverage	15x
LT Dept/Capital	12.10
LT Debt/Assets	10.45
ROA	7.49%

DuPont Analysis

Tax Burden	80.18
Interest Burden	93.75
Operating Margin	30.10%
Asset Turnover	0.33x
Leverage Ratio	1.34x
Adjusted ROE	10.83%

Company Overview

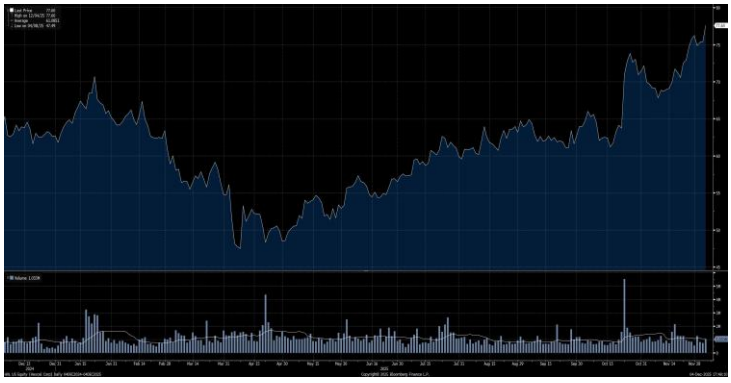
Hexcel Corporation is a leading aerospace composites manufacturer producing carbon fiber, resins, and honeycomb structures used in commercial aircraft and defense platforms. Over 50% of revenue comes from Airbus and Boeing, supported by long-term contracts and 5–7 year qualification cycles. With a global aircraft backlog of ~14,000 units and capacity already built, Hexcel is positioned to benefit from rising production rates. Competitors like Toray face higher exposure to deglobalization, strengthening Hexcel's competitive advantage in North America.

Industry Overview

The global aerospace composites market is currently estimated at US$ 30–35 billion (2025E) and is projected to expand to roughly US$ 53–58 billion by 2030, representing a ~12% compound annual growth rate (CAGR) over the forecast period.

Next-generation aircraft programs at Boeing and Airbus—such as the A320neo family rate increases and Boeing's planned future narrow-body platform—are expected to support long-term demand visibility for suppliers like Hexcel.

Price Movement



Sales (in USD millions)					
Year	**Q1**	**Q2**	**Q3**	**Q4**	**FY**
2021	357	419	411	519	1,706
y-o-y	*-16.3%*	*22.9%*	*14.7%*	*19.2%*	*10.5%*
2022	396	457	435	527	1,815
y-o-y	*10.9%*	*9.1%*	*5.8%*	*1.5%*	*6.4%*
2023	374	420	457	555	1,806
y-o-y	*-5.6%*	*-8.1%*	*5.1%*	*5.3%*	*-0.5%*
2024	456	476	483	605	2,020
y-o-y	*21.9%*	*13.3%*	*5.7%*	*9.0%*	*11.9%*

Diluted EPS					
Year	**Q1**	**Q2**	**Q3**	**Q4**	**FY**
2021	0.48	0.52	0.49	0.74	2.23
y-o-y	*-8.3%*	*-11.5%*	*-20.4%*	*5.4%*	*-7.2%*
2022	0.44	0.46	0.39	0.78	2.07
y-o-y	*-8.3%*	*-11.5%*	*-20.4%*	*5.4%*	*-7.2%*
2023	0.37	0.50	0.44	0.72	2.03
y-o-y	*-15.9%*	*8.7%*	*12.8%*	*-7.7%*	*-1.9%*
2024	0.37	0.50	0.60	0.52	1.99
y-o-y	*0%*	*0%*	*36.4%*	*-27.8%*	*-2.0%*

Investment Thesis

1. Strong Demand Visibility Driven by Airbus & Boeing Backlogs

- Airbus + Boeing combined **backlog of ~14,000+ aircraft** ensures multi-year production growth.
- Next-gen aircraft (A320neo, A350, 737 MAX, 787) require **higher composite content**, directly benefiting Hexcel.
- Airbus targeting **75 aircraft/month** on A320neo by 2026; Boeing gradually recovering MAX and 787 production → **structural volume tailwinds** for Hexcel.

2. Capacity Already in Place → Operating Leverage Ahead

- Post-pandemic investments mean Hexcel is currently running at **~75% capacity**.
- As volumes rise, margins expand due to fixed-cost absorption.
- Consensus expects EBIT margin expansion of **200–300 bps over the next 12–24 months**.

3. High Switching Costs & Long Qualification Cycles

- Aerospace OEM qualification takes **5–7 years**.
- Once qualified, suppliers rarely change → Hexcel enjoys **sticky, long-term contracts**.
- Switching costs create a **moat** and stable revenue base.

4. Attractive Valuation vs Long-Term Growth

- Bloomberg consensus target: **$76.20**.
- Your blended valuation (80% DCF + 20% Multiples): **≈$85 price target**.
- Represents **~15–18% upside** from $72.54.
- Premium vs peers justified by:
    - Higher switching costs
    - Deep integration into Boeing/Airbus programs
    - Better margin expansion trajectory

5. Macro Support: Lightweighting & Deglobalization Tailwinds

- Global composites market expected to grow from **$30–35B (2025)** → **$55–58B by 2030** (~12% CAGR).
    - Aircraft OEMs shifting toward more composites to meet **fuel-efficiency regulations, carbon-emission targets**
- Deglobalization favors **North American suppliers like Hexcel** over Asian competitors (e.g., Toray).

Valuation

1. Discounted Cash Flow (DCF) Valuation (80% Weight)

We value Hexcel using a free-cash-flow-based DCF model reflective of its strengthening aerospace demand, fixed-cost leverage, and long-duration OEM contracts.

Key Assumptions

- Revenue CAGR: ~3–5% (FY2024–FY2028)
- EBITDA Margin Expansion: 17–18% as Airbus/Boeing production ramps drive operating leverage
- WACC: 10.4% (per Bloomberg calculation)
- Terminal Growth: 2.3–2.5%
- Net Debt/EBITDA: ~3.0x (manageable leverage supports valuation)

DCF Output

Based on your valuation sheets:

- Perpetuity Growth Method: ~$39 per share
- EBITDA Multiple Method (23.4× exit multiple): ~$113 per share

Base-Case Fair Value (DCF Blend)

We apply:

- 80% weight to EBITDA multiple method (more realistic for cyclicals)
- 20% weight to perpetuity method

➡️ **DCF Fair Value = $90–95 per share.**

2. Relative Valuation (Multiples-Based):

Hexcel trades near or slightly *below* composite-material peers despite higher switching costs and deep integration with Airbus & Boeing.

Key Metrics:

Metric	Hexcel	Peer Avg	Premium/Discount
EV/EBITDA (NTM)	16×	~18×	–11%
P/E (NTM)	31×	~33×	–6%
EV/Revenue	3.1×	~2.2×	+39%
FCF Yield	5.5%	~4.8%	+0.7%

Interpretation:

Hexcel trades at a discount supported by:

- Structural recovery in commercial aerospace build rates (Airbus/Boeing ramp-up)
- High switching costs due to customer certification and long qualification cycles
- Long-term sole-source and preferred-supplier contracts with major OEMs
- Strong positioning in advanced composite materials, which are mission-critical and lightweight

➡️ **A justified EV/EBITDA multiple of ~16–18x supports a fair value target of ~$85–$90 per share.**

3. Comparative Valuation:
Benchmarked against aerospace and composite peers:

Company	P/E	EV/EBITDA	EV/Revenue
Hexcel	31×	16×	3.1×
Spirit AeroSystems	~28×	~15×	~1.0×
Mercury Systems	~35×	~26×	~4.4×
Moog	~26×	~13×	~1.9×
Woodward	~29×	~17×	~3.2×

Multiples-Based Fair Value

Applying a justified EV/EBITDA range of **16–18×**, consistent with peers and your Bloomberg comp sheet:

➡️ **Relative Value Range: ~$78–88 per share**

3. Blended Valuation (DCF + Multiples)
Using your preferred weights:

- **DCF Value (80% weight):** $90–95
- **Multiples Value (20% weight):** $78–88
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Final Blended Fair Value

$$FV = 0.80(92) + 0.20(83) \approx \mathbf{89–92} \text{ per share}$$

12-Month Target Price
Target Price: $85 per share
Represents **~17% upside** from $72.54.

Aha Moment

1. **Extremely High Switching Costs**
Hexcel benefits from some of the highest switching costs in the aerospace industry. OEM qualification cycles take **5–7 years**, requiring extensive material testing, flight certification, and regulatory validation. Once approved, suppliers are rarely replaced because switching would require re-certifying entire aircraft components, risking delays and safety failures. This creates **decade-long revenue visibility** and makes Hexcel's market share unusually sticky.

2. **Capacity Already in Place**
Unlike competitors still scaling up operations post-pandemic, Hexcel has already restored production capacity and labor ahead of demand. The company is now operating at **~75% capacity**, with infrastructure ready to support ramp-ups without major new capital expenditure. This means incremental volume flows directly into margin expansion, enabling **operating leverage to lift EBITDA margins by 200–300 bps** over the next 12–24 months.

3. **Airbus & Boeing Backlog Provides Multi-Year Visibility**

Airbus and Boeing together hold an unprecedented combined backlog of **~14,000+ aircraft**, driven by demand for next-generation fuel-efficient platforms like the A320neo, A350, and Boeing 787. These aircraft use significantly more composite content per unit, directly benefiting Hexcel. The backlog provides **8–10 years of locked-in production visibility**, supporting sustained volume growth and a long runway for revenue acceleration.

Risk Factors

1. Dependence on Airbus & Boeing (High Customer Concentration)

Hexcel generates **50%+ of revenue from Airbus and Boeing**, making its performance highly sensitive to their production schedules, order book health, and inventory decisions. Any delays in new aircraft programs, build-rate cuts, or supply-chain bottlenecks at OEMs could materially impact Hexcel's revenue visibility and margin recovery. Additionally, pricing pressure from these customers may constrain margin expansion, even in a rising volume environment.

2. Aerospace Cycle Volatility

Hexcel's end-markets are tied to the commercial aerospace cycle, which is influenced by global travel demand, macroeconomic trends, fuel prices, and airline profitability. A slowdown in air-traffic recovery, weaker airline capex, or unexpected macro shocks (oil spikes, recessions, geopolitical risks) could disrupt expected aircraft deliveries. This cyclicality may hinder the company's ability to sustain volume growth and operating leverage.

3. Supply Chain & Raw Material Risks

Hexcel relies on specialty raw materials such as PAN precursors and resins, sourced from a limited number of global suppliers. Any disruptions—ranging from energy shocks, logistics delays, or supplier capacity constraints—could raise costs or impair production. While long-term supply agreements offer some protection, inflationary cost pressures or shortages could compress margins if not passed through to OEMs.

4. Competitive Pressure from Global Composite Leaders

Hexcel faces competition from Toray, Solvay, and Teijin, each investing heavily in next-generation composites. Deglobalization and "friend-shoring" trends are encouraging OEMs to diversify suppliers, potentially increasing competitive intensity. Toray, with its integrated fiber-to-fabric ecosystem, remains the most formidable rival and could win incremental share if it secures qualification on next-generation aircraft platforms.

5. Execution & Margin Recovery Risks

Hexcel's thesis relies on margin normalization as production volumes rise and operating leverage improves. However, execution risks remain: slower-than-expected cost absorption, higher labor or energy expenses, or inefficiencies in recently expanded facilities could delay EBIT margin recovery. A 100–150 bps deviation in margin can materially affect free-cash-flow generation and fair-value estimates.

6. FX, Geopolitical, and Regulatory Exposure

With nearly half of revenue from international markets and multi-continent supply chains, Hexcel is exposed to FX fluctuations, trade-policy shifts, export-control restrictions, and geopolitical tensions. Defense spending uncertainty, environmental regulations on chemical precursors, or cross-border trade barriers could affect production planning and demand visibility.

Porter's 5 Forces

1. Threat of New Entrants — LOW

The aerospace composites market has very high entry barriers due to strict FAA/EASA regulatory requirements, long OEM qualification cycles (2–3+ years), and large upfront capital investment. Aircraft manufacturers prefer proven, certified suppliers, making new entry highly unlikely.

2. Bargaining Power of Suppliers — MODERATE

Hexcel depends on a limited number of specialized suppliers for carbon-fiber precursors and advanced resins. While supplier concentration is high, Hexcel's scale, long-term contracts, and backward integration in carbon fiber offer reasonable negotiating power.

3. Bargaining Power of Buyers — HIGH

The customer base is extremely concentrated, dominated by Airbus, Boeing, and major defense OEMs. These large buyers exert strong pricing pressure and influence contract terms, which can affect Hexcel's margins.

4. Threat of Substitutes — LOW

High-performance composites have no close substitutes for next-generation aircraft. Metals like aluminum and titanium are heavier and less fuel-efficient, making them unattractive replacements as the industry shifts to lighter materials.

5. Competitive Rivalry — MODERATE

Hexcel competes with a few large, established players such as Toray, Solvay, and Teijin. Competitive intensity exists, but is softened by long certification cycles, switching costs, and multi-year contracted volumes, which prevent rapid share shifts.

Environmental, Social and Social Factors (ESG)

1. Environmental (E) – 3.85

Hexcel's lightweight composite materials reduce aircraft weight by 15–25%, enabling lower fuel burn and CO_2 emissions for next-generation Boeing and Airbus programs. The company is investing in lower-waste manufacturing and reduced energy intensity across facilities. With increased production of fuel-efficient aircraft platforms, Hexcel functions as an environmental enabler in the aerospace supply chain

2. Social (S) – 2.40

Hexcel runs a highly skilled manufacturing workforce with strong safety, training, and compliance systems, consistent with aerospace regulatory requirements. Employee development, skill-building programs, and diversity initiatives are in place, though diversity metrics remain below large-cap industrial peers. The company maintains strong site-level compliance and quality-control systems demanded by OEM customers.

3. Governance (G) – 6.90

Hexcel has a robust governance structure with an independent board, clear separation of CEO/Chair responsibilities, and established audit/risk oversight committees. Executive compensation aligns with operational and financial performance. Governance quality is considered above average for mid-cap aerospace suppliers, supporting long-term strategic discipline.

While governance is a strength, Hexcel does not receive an ESG valuation premium, but its practices support capital access and long-duration customer contracts.